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# Health policy

## Prevention versus cure

The founding intuition of the field of health policy is the tension between prevention and cure. Policymakers always face two rival pathways in health policy: of utilizing incremental expenditure or coercion for the purpose of preventing ill health versus utilizing incremental expenditure or coercion for the purpose of healthcare. In India, too little has been done by way of prevention, so the gains from incremental effort in prevention are substantial.

Consider road safety. When a person suffers from a road accident that is not fatal, there are three consequences: (a) Pain and unhappiness; (b) If the affected person is a worker, there is the loss of output and possibly income on account of reduced days of work; and (c) Expenditures on healthcare. Given that India has some of the highest rates of road accidents in the world, on the margin, prevention seems better than cure. We are better off with fewer road accidents, rather than having casualties and then supplying the commensurate healthcare services.

A little general equilibrium intuition is useful in thinking about a world where fewer people require healthcare. If road safety in India was improved, there would be fewer jobs in trauma centres. The resources which go into producing healthcare, for a preventable accident, are reallocated by society when accidents are prevented. Healthcare production requires labour and capital in order to produce ambulance services, trauma centres, medical supplies, etc. In a world with fewer accidents, these